



KARMA STAFF DEHRADUN INDIA LLP

EMPLOYEE HANDBOOK

POLICY MANUAL

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POLICY MANUAL

WELCOME AND INTRODUCTION

WELCOME TO KARMA STAFF

We are delighted to have you as part of our team and look forward to building a collaborative and innovative work environment where everyone's contributions are valued.

PURPOSE OF THE HANDBOOK

This handbook is designed as a concise guide to help you navigate your journey with Karma Staff. It provides essential information on company policies, procedures, and expectations, ensuring that you are well-equipped to contribute to our shared success. Whether you are seeking clarity on daily operations, your benefits, or the company culture, this handbook serves as a first point of reference. It is intended to foster understanding, encourage compliance with our core values, and support your professional growth within our organization.

COMPANY MISSION, VISION, AND VALUES

MISSION

To uplift the community by educating and providing jobs to people that are both fulfilling and rewarding.

VISION

To be the top provider of smart administrative solutions, helping businesses excel with our skilled remote team. We strive to be globally recognized for our quality, integrity, and positive community impact.

CORE VALUES

Empathy

We listen with care, understand diverse perspectives, and act with compassion in every interaction.

Integrity

We operate with transparency and fairness in every aspect of our work, ensuring that all actions align with our ethical standards.

Customer-centric

We put our clients first, delivering responsive, thoughtful service that builds trust and long-term relationships.

ADDITIONAL VALUES

Teamwork

We believe in the power of teamwork. By working together and sharing knowledge, we create a supportive environment that drives innovation and success.

Personal Accountability

We take ownership of our actions, follow through on commitments, and hold ourselves to the highest standards.

Growth & Innovation

We are dedicated to continuous improvement, leveraging creativity and forward-thinking solutions to overcome challenges in the staffing industry.

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ORGANIZATIONAL STRUCTURE

At Karma Staff, our organizational structure is designed for efficiency and clarity. We integrate key human resource functions within our management team, enabling streamlined communication and prompt decision-making. Our leadership is comprised of:

The Founder Team Director

Operations Manager

Direct Supervisors/Managers

This flat, agile structure allows us to maintain clear lines of communication and accountability while fostering a collaborative atmosphere where every voice is valued.

EMPLOYMENT POLICIES

WORKPLACE STANDARDS AND CONDUCT

At Karma Staff, we are committed to creating a work environment that is inclusive, respectful, and free from harassment or discrimination. Every employee is expected to treat colleagues, clients, and partners with dignity. Behaviors such as ridicule, intimidation, or demeaning comments will not be tolerated and may result in corrective action. All prospective employees undergo comprehensive background, reference, and credit checks, and any misrepresentation or failure to disclose critical information may result in the withdrawal of employment offers or termination if discovered later.

We encourage every team member to address any concerns directly with their immediate Manager. If issues cannot be resolved at that level, they should be escalated through the established internal processes to ensure transparency and fairness. Additionally, our company does not formally recognize trade unions for collective bargaining; instead, all grievances should be managed through our internal escalation system.

PERSONAL APPEARANCE, ATTIRE, AND BEHAVIOR

Maintaining a professional appearance and conduct is integral to Karma Staff's identity. Employees are expected to dress in formal or semi-formal attire from Monday to Thursday. On Fridays, a more relaxed dress code is permitted. Items such as ripped jeans, shorts, or other attire deemed unprofessional remain unacceptable. For client meetings or any situation requiring formal business wear, employees must adhere strictly to the dress code or wear the designated company uniform if applicable.

Beyond appearance, all employees are required to communicate exclusively in English within the workplace to ensure clear and inclusive communication. Professional and respectful conduct is expected in all interactions, and any behavior that undermines teamwork or compromises the company's reputation may result in disciplinary action.

CONFLICTS OF INTEREST AND OUTSIDE BUSINESS ACTIVITIES

Karma Staff expects all employees to avoid conflicts of interest that might compromise their ability to perform their duties objectively. Employees must immediately disclose any potential or actual conflicts to their Manager. In addition, engaging in outside business activities, taking on a second job, or assuming roles in other organizations is strictly prohibited if such actions interfere with work responsibilities or the interests of Karma Staff. Similarly, relationships with vendors, suppliers, or consultants must be free from any conflict of interest. While employees may accept modest, culturally appropriate gifts (up to INR 1,000), any gifts exceeding this limit requires prior managerial approval to ensure that personal gain does not influence professional judgment.

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All gifts must be disclosed to the management right away.

COMMUNICATION, IT, AND SUBSTANCE POLICIES

Company resources, including telephones, email, and internet access are provided exclusively for business use. Personal use during working hours is not acceptable and may lead to disciplinary action. Confidential information must be safeguarded, and employees should only share it with those who have a legitimate business need.

Furthermore, the use of company software is strictly regulated in accordance with legal and licensing requirements, and employees must not duplicate, distribute, or remove company-provided equipment without explicit written approval.

In order to maintain a safe and productive workplace, any form of substance abuse, whether it be drugs or alcohol, that impairs performance or endangers safety is unacceptable. Karma Staff reserves the right to conduct substance testing under various circumstances, including pre-employment screening, for-cause testing, and random tests.

PROTECTION OF ASSETS AND LEGAL COMPLIANCE

Proper use and protection of company assets, including physical documents, electronic data, computer systems, and other proprietary information, is essential to our operations. Employees are responsible for both safeguarding their personal property and ensuring that company assets are used solely for work-related purposes. Misuse, negligence, or unauthorized removal of company property may result in disciplinary measures, which can include financial deductions.

Karma Staff is dedicated to full compliance with all applicable laws and regulations, including state-specific and national guidelines. Every employee is expected to adhere to these legal standards and seek guidance from their Karma Staff Manager when necessary.

DISCIPLINE, GRIEVANCE, AND FEEDBACK

Karma Staff is committed to maintaining a fair, transparent, and supportive work environment. Employees who suspect or experience unethical or illegal behavior should first report the matter to their immediate Manager. If the issue involves that Manager or remains unresolved, it must be escalated to higher-level leaders in writing.

All grievances will be documented and investigated promptly, with a written response provided within five working days.

In addition, our open-door policy encourages employees to share concerns (sensitive), ideas, or suggestions at any time. The digital suggestion box provides an anonymous channel for feedback, which is reviewed regularly by a designated committee. Consistent non-compliance with company policies, such as breaches of the dress code or communication standards, will result in clearly defined disciplinary actions. These may include fines, warnings (both verbal and written) and deductions in performance ratings.

WORK HOURS, ATTENDANCE AND LEAVE

WORKING HOURS AND OVERTIME

At Karma Staff, our work schedule is designed to balance operational efficiency with employee well-being. Our

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standard work week is five days. For main company employees, working hours are set from 8:00 a.m. to 5:00 p.m. Eastern Standard Time, with each day comprising eight hours of active work plus a one-hour break (a nine-hour shift overall). For employees serving clients in other time zones, adjustments are made to align with the appropriate regional hours, including any necessary modifications for Daylight Savings. In addition, a designated core hour is set from 11:00 a.m. to 12:00 p.m. EST, during which all employees must be available for meetings and team interactions.

Employees are expected to begin work promptly at their assigned start times. If an employee arrives after 8:30 a.m., it would be considered as half day. Late login will be considered when an employee has not logged at exact shift time or before on Time Champ and this will impact the Monthly KPI. Overtime work is permitted only with prior approval from the Karma Staff Manager - and, where applicable, the Client. Such overtime is compensated either through payment (as per Company guidelines) or through corresponding compensatory off-days.

First Instance

Action: Verbal Warning

Fine: ₹500

Second Instance

Action: Written First Warning

Fine: ₹1000

Additional Fine: ₹500 each for the associated Team Lead (TL) and Manager

Third Instance

Action: Final Warning

Fine: ₹1000

Fourth Instance

Action: Termination of Employment / Parting Ways

If fine is not paid in 3 days to the custodian, it will then be deducted from the salary

LEAVE TYPES AND PROCEDURES

Karma Staff's leave policy is structured to support both employee well-being and operational continuity. All confirmed employees are eligible for various types of leave, which must be requested via the HRMS portal and approved by the respective Karma Staff Manager and Client Representative.

EARNED LEAVE (PRIVILEGED LEAVE)

Employees accrue 18 days of Earned Leave per year, calculated on a calendar-year basis (January 1 to December 31). Every month there will 1.5 Earned leaves accrued in the employee account. In emergency situations - such as sudden illness - where up to 2 consecutive days of leave are needed, a phone call and Email to the Karma Staff immediate Manager and Client is acceptable, with subsequent formal notification via the HRMS portal and valid documentation. Earned Leave may be taken in conjunction with other leave types (such as maternity leave). Every year maximum 3 leaves can be carried forward. Unused Earned Leave may be encashed in accordance with Company guidelines, with leave encashment calculated as 1 times the employee's monthly pay at this time.

Planned Leaves have to be applied and approved as per the below grid:

1 – 3 working days: Application must be completed 2 days prior to the leave date

>3 – 5 working days: Application must be completed 1 week prior to the leave date

> 5 working days: Application must be completed 2 weeks prior to the leave date

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LOP/LWP (Leave Without Pay):

All LOP must be backed with valid documentation

First Instance LOP: HR counseling + not eligible for monthly MPR

Second Instance LOP: Written warning + not eligible for quarterly MPR.

Third Instance LOP: Termination, following due process.

Submission of false documents: Immediate disciplinary proceedings, which may include suspension pending inquiry, and termination upon confirmation.

LOP days will result in proportional salary deductions per payroll policy.

Withheld MPR may impact variable pay, spot awards, and performance documentation for the affected month/quarter.

Annual performance processes will consider the absence of MPR entries per this policy and may affect appraisal outcomes accordingly.

MATERNITY, PATERNITY, AND BEREAVEMENT LEAVE

Maternity Leave is provided in accordance with the Maternity Benefit (Amendment) Act, 2017. Female employees are entitled to 26 weeks of full-pay maternity leave for their first two children (with a maximum of 6 weeks allowed prior to delivery) and 12 weeks for subsequent children. In cases of miscarriage, employees are entitled to 6 weeks of leave. Paternity Leave is available for 2 continuous working days, to be taken within 30 days of the child's birth. Bereavement Leave provides 3 consecutive working days of full-pay leave in the event of the death of an immediate family member (spouse, child or parents); a death certificate may be required for verification.

LEAVE FOR EMPLOYEES ON PROBATION

Employees on probation, except in emergencies, are generally not eligible for leave until they are confirmed. Once confirmed, any leave entitlement for employees who joined during the previous year will be prorated based on their period of service, with unconfirmed employees receiving their prorated entitlement upon confirmation.

No leaves paid or unpaid are allowed in the first 30 days of training. These cases will be dealt with serious consequences.

All leave requests must be submitted via the HRMS portal and approved by the Karma Staff Manager and respective Client to ensure proper planning and workflow continuity.

COMPENSATION AND BENEFITS

At Karma Staff, our compensation and benefits framework are designed to be fair, competitive, and transparent, ensuring that every employee is rewarded for their contributions while complying with all applicable laws.

SALARY ADMINISTRATION

All employees receive their salaries on a monthly basis, with payments processed on or before the seventh working day of the following month. Salaries are directly deposited into your approved bank account, so it's important to keep your banking details up to date. New trainees receive a stipend during their initial month of training, and eligible employees may also benefit from travel allowances based on their commuting distance.

PERFORMANCE REVIEWS AND BONUS SCHEMES

Our annual salary reviews are based on a comprehensive performance appraisal system that considers punctuality, work quality, teamwork, and adherence to company policies. This process ensures that salary adjustments are merit-based and aligned with market conditions and the company's financial health.

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Effective 1st January, 2026, Yearly appraisals will be calculated from January to December for all employees. Any employee joining post 1st September will be considered for an appraisal in the following year. (e.g.: If an employee joins on 1st September, 2026, his/her appraisal will be due on December 2027.)

Appraisals will be based on the monthly performance scores, KPI Performance, Team work, Initiatives, Behavior calculated as per the below grid on a bell curve:

- Outstanding
- Exceeds Expectations
- Meets Expectations
- Needs Improvement

Employee that falls under Needs Improvement Category or is on notice period will not be eligible for a yearly appraisal.

In addition to the annual reviews, we operate a monthly performance bonus scheme for permanent employees.

Employees who do not meet the required performance thresholds do not receive a bonus.

Employees on notice period or any warning letters are not entitled for appraisal or quarterly bonus.

Employees who are terminated are not eligible for any previous MPR dues.

Quarterly bonus is not applicable for:

- Employees in the first 30 days from the date of joining
- Employees on notice period or did not complete full month working

Please note that the salary review and bonus schemes are separate processes designed to reward consistent, exceptional performance.

PERFORMANCE IMPROVEMENT PLAN

A PIP may be initiated when an employee demonstrates non-performance for 60 consecutive calendar days, evidenced by consistent under-achievement against documented KPIs/OKRs, significant quality issues, missed deadlines, or documented behavioral issues. Prior to initiating a PIP, the immediate supervisor should have conducted at least one informal coaching conversation and provided written feedback.

For confirmed employees:

Duration: 15 calendar days.

Start Date: Communicated in writing, including PIP objectives, measures, support, and consequences.

Reviews: Weekly Review #1 (around Day 7–8) and Weekly Review #2 (around Day 14–15) with Immediate Supervisor and HR.

For Employees Probation:

The employee gets 7 calendar days as PIP and if not cleared, then termination. If employee resigns during PIP, then the employee will be released immediately without notice period.

DISCIPLINARY ACTIONS

Categories & Disciplinary Matrix

Category 1: Hygiene Metrics

(includes late logins, unplanned leaves, dress code, language policy, ID card wearing, unauthorized breaks, and other culture-impacting violations)

Examples of Violations

Late login / chronic tardiness.

Unplanned leave without following leave policy.

Dress code non-compliance.

Inappropriate or unprofessional language (non-harassing, non-discriminatory—serious cases may fall under Category 2).

Not wearing ID card or failing access/security protocols.

Unauthorized or extended breaks beyond policy.

Eating in restricted zones, poor workstation hygiene, violating shared space etiquette.

Progressive Discipline (Typical)

Note: A single severe hygiene violation that risks safety or security (e.g., tailgating into secure areas, willful disregard for safety instructions) may bypass steps.

Attendance & Unplanned Leave—Specifics

Exception: Death in the immediate family member or self-hospitalized along with discharge summary as proof.

Patterns: Repeated Friday/Monday absences or pre-/post-holiday leaves may trigger closer review.

Category 2: Insubordination & Behavioral Issues (including LOP)

What is Insubordination?

Refusal to follow lawful and reasonable instructions from a supervisor/manager, or openly defying authority (e.g., refusing task assignments, hostile non-cooperation).

Behavioral Issues (non-hygiene, non-integrity)

Disrespectful conduct, disruptive behavior, aggressive attitude, bullying.

Use of abusive language toward colleagues/customers (non-protected class; protected class abuse may escalate to Category 3 or separate harassment policy).

Willful disregard of safety protocols without intent to defraud.

Workplace altercations, threats, or intimidation.

Misuse of company property not amounting to fraud or theft.

LOP (Loss of Pay) — Detailed Explanation

LOP for Unauthorized Absence: If an employee is absent without approval or beyond leave balance, the company may deduct pay proportionate to the absence.

Process:

Record absence in HRIS/time system.

Manager review and determination (unauthorized vs. approved).

HR issues written communication indicating LOP days/hours and payroll cycle of deduction.

Employee may respond or appeal per Section 8.

Suspension Without Pay (if applicable): For serious behavioral issues pending investigation, the company may place the employee on suspension without pay (subject to local law and contract terms). Duration, terms, and return conditions must be documented.

Legal & Contractual Alignment: LOP must comply with wage protection laws, minimum wage rules, and any collective agreements.

Progressive Discipline (Typical)

Egregious Examples: Threats, intimidation, physical altercation, hate speech, harassment, or refusal to comply with critical safety instructions may bypass steps and result in immediate termination.

Category 3: Integrity Issues & Abuse of System

(zero-tolerance; typically, termination)

Examples

Fraud, theft, embezzlement, bribery, kickbacks.

Falsification of records (timesheets, expenses, compliance documentation).

Data privacy breaches; unauthorized access, exfiltration, or sharing of confidential information.

Misuse of IT systems (e.g., hacking, bypassing security, abuse of admin privileges).

Plagiarism or misrepresentation that materially harms the company.

Harassment or discrimination tied to protected characteristics (if your organization places this under

integrity/misconduct).

Substance abuse at work violating safety and law (depending on policy).

Action

Termination after formal investigation confirming the violation.

Interim Measures: Suspension (with or without pay as per law), access revocation, system containment.

Reporting: Where legally required, report to authorities/regulators.

NOTE:

- If a client is withdrawing from Karma Staff Services, then the employee will be asked to leave without any notice period.
- The warning letter will be a combination of all categories mentioned above.

HEALTH AND INSURANCE BENEFITS

From Day 31 of your employment, you become eligible for our comprehensive health insurance plan. This benefit provides for you, your spouse, and your child, and is currently fully funded by Karma Staff. This benefit is an essential part of our commitment to your well-being, and while it is subject to periodic updates, we always strive to provide robust support for you and your family.

IT, DATA SECURITY AND CONFIDENTIALITY

Safeguarding our digital and physical assets is vital to our operations. This section outlines your responsibilities regarding IT usage, data security, and the handling of confidential information.

IT USAGE AND SECURITY POLICIES

Our computer systems, software, and electronic communication tools are provided to help you perform your job-related tasks efficiently. It is essential that you use these resources responsibly and in accordance with company guidelines. To ensure the security of our assets:

- **Proper Use of Technology**
Software and hardware provided by Karma Staff are intended solely for work-related activities. Unauthorized duplication, distribution, or lending of software is strictly prohibited unless explicitly allowed under the license agreement and with prior written authorization from management.
- **Safeguarding Equipment**
Office-based employees are not permitted to work from home or remove company-provided equipment, such as laptops, mobile phones, or related devices, from the workplace without explicit, prior written approval from management. This policy is in place to protect our assets and ensure that they are used safely and effectively.
- **Access and Data Protection**
Avoid unauthorized access or sharing of data. When accessing sensitive systems or transmitting confidential information, ensure that you are using secure connections (such as company-provided VPNs) and following established protocols.
- **Compliance with Data Security Standards**

We adhere strictly to SOC 2 guidelines for data security. It is your responsibility to follow all related protocols, including keeping software updated, using strong passwords, and reporting any security incidents immediately. Failure to protect company assets or negligent handling may result in disciplinary action, which can include deductions from your paycheck or other measures to recover any losses. By adhering to these IT usage and confidentiality guidelines, you help maintain the integrity of our technology systems and protect the proprietary information that is essential to our business. If you have any questions or require further clarification on these policies, please contact your Manager or the IT department.

EMPLOYEE DEVELOPMENT AND COMMUNICATION

We believe that continuous learning, professional growth, and open dialogue are essential for both individual and company success. Our commitment to your development is reflected in our comprehensive training programs, regular performance feedback, and accessible communication channels.

TRAINING AND CAREER DEVELOPMENT

Karma Staff offers a range of training programs designed to equip you with the skills needed for your current role and future career progression. From initial onboarding to specialized skills training, our development initiatives are tailored to support your professional journey. Employees are encouraged to request additional training through a formal process that outlines how the proposed training will enhance your role and contribute to our overall objectives. Our structured career development pathways, supported by regular performance evaluations, ensure that you have clear opportunities for growth within the company.

PERFORMANCE FEEDBACK AND GRIEVANCE PROCEDURES

Constructive feedback is vital to your success. Managers conduct regular performance reviews to assess key aspects such as punctuality, work quality, teamwork, and adherence to company policies. These reviews provide actionable insights to help you improve and excel.

If you encounter any concerns or issues, our structured grievance procedures are in place to address them promptly. Start by discussing the matter with your immediate Manager; if a resolution is not reached, you may escalate the issue in writing to a higher-level leader. All grievances are handled with strict confidentiality and are thoroughly investigated, with a written response provided within five working days. This process, alongside our open-door policy, ensures you have a safe space to share your concerns without fear of retaliation.

INTERNAL COMMUNICATION CHANNELS

Effective internal communication is key to our collaborative work environment. Karma Staff utilizes various channels, such as team meetings and email updates to keep you informed about company news, policy updates, and important resources. Additionally, our anonymous Suggestion Box offers a way for you to share feedback or ideas. These channels are designed to foster transparency, ensure timely information sharing, and keep everyone aligned with our strategic goals.

By prioritizing your development and ensuring open communication, Karma Staff creates a supportive environment where every employee is empowered to grow, succeed, and contribute to our collective success.

POLICIES FOR SPECIAL CIRCUMSTANCES

BUSINESS TRAVEL AND EXPENSE REIMBURSEMENTS

When you travel on behalf of the company, your expenses are managed in a fair and transparent manner as per the Travel Policy. Prior approval from your Manager is required for all business travel. Once approved, you may book travel using our designated platforms and submit expense claims for transportation, lodging, meals, and

other incidentals.

Ensure that all claims are supported by appropriate documentation and submitted according to our established procedures. This process is designed to keep travel costs in check while ensuring you are reimbursed promptly for expenses incurred during official business trips.

RELOCATION, TRANSFERS, AND DEPUTATION

For employees who are required to relocate or transfer as part of your role, Karma Staff provides support to ensure a smooth transition. Whether you are moving to a new office location or being deputed to a different department or client site, the company assists with travel arrangements, packing, and shipping of personal belongings where applicable. Allowances may be provided to cover relocation-related expenses. These policies ensure that while you continue to contribute effectively to your role, any temporary or permanent move is handled efficiently, with minimal disruption to your work and personal life.

REHIRE POLICY

Karma Staff values the experience and positive contributions of former employees. Our rehire policy is designed to welcome back individuals who have demonstrated a strong work record. The key aspects of our rehire policy include:

- **Eligibility Criteria**

Former employees may be considered for rehire only if they have a positive employment record. Those who were involuntarily terminated for misconduct, underperformance, or violations of company policies, or who resigned under similar circumstances, are not eligible. To be eligible, a former employee must have successfully completed the original probationary period, provided appropriate notice of resignation, and consistently met or exceeded performance expectations.

- **Application Process**

When applying for rehire, you must disclose your previous tenure with Karma Staff. Failure to do so may render your application ineligible, and undisclosed prior employment discovered after rehire can result in termination. The HR team reviews your personnel records to verify eligibility based on the criteria above. If deemed eligible, you will be considered alongside other candidates and must comply with our standard recruitment processes. Final approval for rehire requires sign-off from both the relevant Department/Functional Head and Human Resources.

- **Salary and Benefits**

Rehired employees are treated as new hires for orientation, training, and benefits purposes. To maintain internal parity, the compensation package offered will not exceed that of your current peers and will be based on prevailing market conditions and existing salary structures.

- **Waiting Period**

Once removed from the payroll, a former employee must wait a minimum of three months before being eligible for rehire, although exceptions may be made by upper management. This waiting period allows the company to assess operational needs and make informed decisions regarding re-employment.

Sincerely,

Tenzin Nordon Chophel

Tenzin Nordon Chophel

Chief Executive Officer Karma Staff Dehradun India

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